

Leave Policy

Document and Version History

#	Version	Release Date	Description of Change	Created/Modified by	Approved by
1	1.0	28-Apr-23	Initial	HR Team	Gayathri V
2	1.1	30-Oct-25	Comprehensive revision of the Leave Policy	HR Team	Gayathri V
3	1.2	09-Jan-26	Introduction of EL and Encashment option	HR Team	Gayathri V
4	1.3	02-Mar-26	Updated Sick Leave and Increased EL count	HR Team	Murali V

1. Purpose

This Leave Policy is designed to establish a structured, transparent, and sustainable leave framework. The policy aims to balance employee well-being with operational continuity while standardizing leave accrual, utilization, accumulation, and encashment practices across the organization.

2. Policy Scope

This policy sets out the various types of leave that an employee is eligible for and outlines the procedure for availing leave. Leave entitlements are calculated on a calendar year basis (1st January to 31st December).

3. Annual Leave Entitlement (Total: 24 Days)

- **Casual Leave (CL):** 6 days per calendar year
- **Sick Leave (SL):** 6 days per calendar year
- **Earned Leave (EL):** 12 days per calendar year
- **EL Accumulation Cap:** Maximum 20 days
- **Leave Credit Cycle:** Quarterly (6 days per quarter)

Leave Category	Quarterly Credit	Leave Credit Status
Casual Leave (CL)	1.5 days	Credited at the beginning of each Quarter
Sick Leave (SL)	1.5 days	Credited at the beginning of each Quarter
Earned Leave (EL)	3 days	Credited at the beginning of each Quarter

4. Types of Leave and Entitlements

4.1 Casual Leave (CL)

- Employees are entitled to 6 days of Casual Leave per calendar year.
- CL is intended for short-term or unforeseen personal requirements.
- Casual Leave (CL) cannot be carried forward to the next calendar year or encashed.
- Unutilized CL will lapse at the end of the calendar year.

4.2 Sick Leave (SL)

- Employees are entitled to 6 days of Sick Leave per calendar year.
- SL is applicable in case of illness or medical emergency.
- Sick leave (SL) cannot be carried forward to the next calendar year or encashed.
- Unutilized SL will lapse at the end of the calendar year.

4.3 Earned Leave (EL)

- Employees are entitled to 12 days of Earned Leave (EL) per calendar year.
- EL is credited quarterly at the beginning of each quarter.
- Up to 8 days of unused EL will be carried forward to the next calendar year.
- EL can be accumulated up to a maximum of 20 days.
- EL may be utilized for planned or long-term leave requirements.

(Note: Employees can avail leave in any order as per their preference, subject to approval and applicable policy guidelines.)

5. Earned Leave (EL) Encashment Policy

- Out of the total 12 EL credited annually, a maximum of 8 days per calendar year is eligible for encashment.
- Employees may apply for Earned Leave (EL) encashment on a quarterly basis.
- Employees may encash EL partially or fully, as per their requirement (for example, if 10 days are encashed, the remaining balance will continue in the EL account).
- EL encashment will be calculated based on the employee's Basic Pay.
- EL encashment is permitted only once in a calendar year.
- The EL balance must not exceed the accumulation cap of 20 days.
- Any Earned Leave (EL) balance exceeding 20 days will lapse.
- EL encashment will be processed through payroll, and applicable statutory taxes will be deducted.
- EL encashment is applicable only to active employees.
- Employees serving their notice period or who have resigned are not eligible for EL encashment.
- The remaining EL balance after encashment will continue in the employee's EL account.

Note: Employees who are serving their resignation notice period are not eligible to avail Casual Leave (CL), Sick Leave (SL), Privilege Leave (PL) (if any), Earned Leave (EL), and Work from Home (WFH).

5.1 PL to EL Conversion Logic

As part of the policy transition, existing Privilege Leave (PL) balances were reviewed and aligned under the new leave structure. This was a one-time exercise to convert eligible PL into Earned Leave (EL) for employees holding PL balances.

Employees who had Privilege Leave (PL) were given the option either to convert their PL into Earned Leave (EL) or to continue with their existing PL balance. This conversion was optional and applicable only once, effective from the implementation date of the revised policy.

Based on the responses received from employees, the conversion has been processed accordingly. For employees who opted not to convert, their PL balance will continue to remain as Privilege Leave (PL) under the existing structure.

Conversion Logic

Case 1: If PL Balance $\leq$ 6 Days

- If an employee's PL balance is less than or equal to 6 days,
→ The PL balance will remain unchanged in the PL account.
- No transfer to EL will occur.

Case 2: If PL Balance Exceeds 6 Days

- If an employee's Privilege Leave (PL) balance exceeds 6 days, the following conversion logic shall apply:

1. **Standard Deduction:**

Six (6) or seven (7) days will be retained from the existing PL balance, depending on whether the current balance is an even or odd number.

Eg: 1.1 Current PL balance is an even number: If your current PL balance is 10, you will be eligible for 6 days standard deduction.

1.2 Current PL balance is an odd number: If your current PL balance is 11, you will be eligible for 7 days standard deduction.

2. **Conversion to Earned Leave (EL):**

After the applicable standard deduction, the remaining Privilege Leave (PL) balance shall be converted into Earned Leave (EL) in the ratio 2:1 and credited to the employee's EL account. The standard retained balance of six (6) or seven (7) days will continue to remain in the PL account and can be used until fully exhausted, with no expiry.

For Eg: If your PL as on date is 10 days, 6 days (standard deduction will be applied) and you will continue to have 6 days in PL and the remaining 4 days will be converted to 2 days EL.

If your PL as on date is 11 days, 7 days (standard deduction will be applied) and you will continue to have 7 days in PL and the remaining 4 days will be converted to 2 days EL.

7.2 PL to EL Conversion – Calculation Examples

Example 1 (Even Number)

- PL Balance: 10 days
- Deducted from PL: 6 days
- Remaining PL: 4 days
- EL credited = In the ratio 2 PL : 1 EL = 2 EL days

Final Outcome:

- PL Balance: 6
- Additional Credit to EL: 2 days

Example 2 (Odd Number)

- PL Balance: 13 days
- Deducted from PL: 7 days
- Remaining PL: 6 days
- EL credited = In the ratio 2 PL : 1 EL = 3 EL days

Final Outcome:

- PL Balance: 7
- Additional Credit to EL: 3 days

Example 3 (Less than or equal to 6 days)

- PL Balance: 6 days
- Since $PL \leq 6$
- No conversion applied

Final Outcome:

- PL Balance: 6 days
- Additional Credit to EL: Zero (No conversion of EL to PL)

6. Additional Leave Categories

The following leave categories are governed by statutory requirements and the company's internal policies. These leaves are over and above the annual leave entitlement and do not form part of CL or EL balances.

6.1 Maternity Leave

a. In Case of Pregnancy

1. Maternity Leave benefits are governed by Indian labour laws, including the *Maternity Benefit Act, 1961*, and applicable amendments.
2. Employees become eligible for Maternity Leave after completing 80 days of confirmed employment with Ideas2IT.
3. Eligible employees are entitled to 26 weeks of paid Maternity Leave for the first and second child, as per company records.
4. For the third or subsequent child, employees are entitled to 12 weeks of paid Maternity Leave.
5. Maternity Leave may be split before and after delivery—up to 8 weeks before the expected delivery date, with the remaining period after childbirth.
6. A medical certificate from a registered medical practitioner stating the expected date of delivery must be submitted along with the leave request.
7. Employees wishing to extend leave beyond the entitled Maternity Leave period may apply for unpaid special leave after exhausting their Privilege Leave (PL). The total period of absence, including Maternity Leave and extended leave, shall not exceed eight months. Upon return, the employee will be reinstated to the same position held prior to Maternity Leave.
8. Any extension beyond the statutory Maternity Leave period is subject to management discretion.
9. Any extension beyond the statutory Maternity Leave period shall first be adjusted against the employee's available leave balance. Once all eligible leave balances are exhausted, the remaining period of absence will be treated as Leave Without Pay (LWP).

b. In Case of Adoption

1. Maternity Leave provisions for adopting mothers are governed by Indian labour laws.
2. Maternity Leave for adopting mothers is applicable only if the adopted child is below three months of age.
3. Eligible adopting mothers are entitled to 12 weeks of paid Maternity Leave, commencing from the date of adoption.
4. Extension of leave beyond the entitled period may be requested as unpaid special leave after exhausting PL, subject to the maximum absence period of eight months.
5. All extensions are subject to management approval.

6.2 Paternity Leave

1. Paternity Leave is applicable for the birth or adoption of the first and second child only, as per company records.
2. Eligible employees are entitled to 5 days of Paternity Leave per delivery or adoption.
3. Leave requests must be supported with valid documentation (medical or adoption-related) and approved in advance by the reporting manager.
4. Paternity Leave may be availed:
 - Within four weeks before or after the spouse's delivery, or
 - Within four weeks of the adoption of a child. Any Paternity Leave not availed within this period will be considered forfeited.

7. General Leave Rules & Administration

7.1 Leave Application & Approval

All leave requests must be submitted through iAssistant and approved in advance by the reporting manager.

Path: iAssistant → Leave Request → Apply Leave Request

7.2 Unapproved Absence / Leave Without Pay (LWP)

Any leave of absence not applied for or approved in iAssistant will be treated as Leave Without Pay (LWP).

Additionally, if an employee neither submits a Leave/Work from Home request in iAssistant nor has an official access entry recorded for the day, the absence will be considered LWP.

7.3 Holidays and Weekly Offs During Leave

If a declared public holiday or weekly off falls within an approved leave period, such day(s) shall not be counted as leave.

8. Policy Amendments & Review

Management reserves the right to amend, modify, suspend, or withdraw any part of this policy at its discretion, in accordance with applicable statutory requirements and organizational needs. This policy will be reviewed annually or as required by HR.

Disclaimer

The applicability and eligibility of this Leave Policy may be implemented and/or modified by Ideas2IT from time to time at its sole discretion. Any such changes shall become effective immediately upon communication to employees.

Leave Policy – Frequently Asked Questions (FAQs)

1. What is the total number of leaves I am entitled to in a year?

You are entitled to 24 days of paid leave per calendar year, comprising:

- 6 days of Casual Leave (CL)
- 6 days of Sick Leave (SL)
- 12 days of Earned Leave (EL)

2. What is the leave year followed by the company?

The leave year follows the calendar year, from 1st January to 31st December.

3. How and when are leaves credited?

Leaves are **credited quarterly at the beginning of each quarter** as follows:

- Casual Leave (CL): 1.5 days per quarter
- Sick Leave (SL): 1.5 days per quarter
- Earned Leave (EL): 3 days per quarter

Total quarterly credit: 6 days

4. Can I carry forward my unused Casual Leave (CL)?

No. Casual Leave cannot be carried forward or encashed. Any unused CL will lapse at the end of the calendar year.

5. Can I carry forward my unused Sick Leave (SL)?

No. Sick Leave cannot be carried forward or encashed. Any unused SL will lapse at the end of the calendar year.

6. Can Earned Leave (EL) be carried forward?

Yes. Only up to 8 days of unused EL can be carried forward to the next calendar year.

7. What is the maximum EL balance I can maintain?

Earned Leave can be accumulated up to a maximum of 20 days. Any balance exceeding 20 days will lapse.

8. Am I eligible for Earned Leave (EL) encashment?

Yes. Employees may encash Earned Leave, subject to the following:

- Once you have reached 20 days in your EL account, you are eligible for encashment.
- Encashment can be availed once in a calendar year.
- EL encashment is processed through payroll and subject to statutory tax deductions.

9. How is EL encashment paid?

EL encashment is:

- Processed through payroll
- Subject to applicable statutory tax deductions

10. In what order should leaves be utilized?

Employees may avail leave in any order based on their needs, subject to manager approval and policy guidelines.

11. What happens to my existing Privilege Leave (PL)?

Your existing PL balance will be transitioned in accordance with the PL-to-EL conversion logic defined in the policy, or it may remain in your PL account without any expiry period.

12. What if my PL balance is 6 days or less?

- Your PL balance will remain unchanged.
- No conversion to EL will take place.

13. What if my PL balance exceeds 6 days?

If your PL balance exceeds six (6) days:

- Six (6) days (for even balance) or seven (7) days (for odd balance) will be retained in PL.
- The remaining balance will be converted to EL in the ratio of 2 PL : 1 EL.
- The retained PL balance will remain available until fully utilized.

14. How is an odd PL balance handled during conversion?

If the PL balance is an odd number, 7 days will remain in PL and the remaining balance will be converted to EL in the ratio of 2:1.

15. How do I apply for leave?

All leave requests must be submitted through iAssistant:

Path: iAssistant → Leave Request → Apply Leave Request

Leave must be approved by your reporting manager.

16. What happens if I do not apply for leave in iAssistant?

Any absence without an approved leave or WFH request will be treated as Leave Without Pay (LWP).

17. What will happen to my final PL balance after conversion?

After conversion, the retained **6 or 7 PL days** will remain in your PL account until fully exhausted.

18. What if I neither apply for leave nor have an access entry?

If there is:

- No leave/WFH request, and
- No official access entry recorded

the absence will be treated as LOP.

19. Are holidays and weekly offs counted as leave?

No. If a public holiday or a weekly off falls during an approved leave period, it will not be counted as leave.

20. Am I eligible to encash Earned Leave during my notice period or at exit?

No. Employees serving notice period or who have submitted resignation are not eligible for EL encashment, including at the time of exit.